

The Commodities Feed: Middle East re-escalation pushes oil prices higher

A re-escalation of tensions in the Persian Gulf pushed oil and gas prices higher as the market once again reprices the duration of supply disruptions from the region



Energy - Tensions re-emerge in the Middle East

We are seeing the first signs of the ceasefire between the US and Iran breaking down amid a re-escalation in the Persian Gulf. ICE Brent rallied 5.8% yesterday to settle above \$114/bbl. The US struck a number of Iranian boats. There are claims that Iran struck a US warship, which the US has denied. In addition, Iran has resumed attacks on infrastructure in neighbouring countries, with the UAE intercepting several Iranian missiles, while Fujairah port was hit by a drone. This port is important for UAE oil exports. It is situated outside the Strait of Hormuz, which allowed oil exports to continue (and, in fact, to increase) despite the war and blockade of the Strait. Prior to the ceasefire, Fujairah was targeted several times. Even so, oil loadings continued largely unaffected, with only temporary halts. LSEG data shows that crude oil exports from Fujairah totalled nearly 1.7m b/d in April.

This re-escalation comes at a time when the US has started guiding commercial vessels through the Strait of Hormuz, under "Project Freedom". Two US-flagged commercial vessels have passed

through the Strait of Hormuz under the plan, according to the US. Clearly, continuation of “Project Freedom” risks further escalation. Any relief from stranded vessels making their way through the Strait will be temporary, with very few inbound vessels moving into the Persian Gulf.

Markets may find some relief today following President Trump’s overnight comments suggesting the conflict could continue for another two to three weeks. However, markets are likely to view this with considerable scepticism, given the recent escalation and the repeated extensions of projected timelines for ending hostilities since the conflict began.

European gas prices also moved higher yesterday following the escalation in the Persian Gulf. TTF settled 5.7% higher on the day and at its highest level since early April. While EU LNG imports in April fell from record levels in March, LNG send-outs remain seasonally high, which has kept EU gas storage trending higher, approaching 34% full vs a 5-year average of almost 46% full. We continue to believe the European gas market and Asian LNG market are underpricing the scale of the supply impact we are seeing from the Persian Gulf. There is little the global gas market can do to offset Persian Gulf LNG supply losses other than to see further demand destruction, and to do that, higher prices are needed.

Metals – Pressure remains on gold

Gold extended its decline for a second straight session, with spot prices hovering near \$4,500/oz yesterday, as US Treasury yields moved higher amid the rally in oil prices. Higher energy prices mean inflation concerns are only growing, suggesting that rates will remain higher than originally anticipated. This has weighed on non-yielding assets, such as gold. Meanwhile, the broader strength in the USD will only add further pressure. ETF holdings in gold have fallen by more than 2.2% since the start of hostilities in the Persian Gulf, while the managed money net long in COMEX gold is at its lowest level since February 2024. For now, the gold market appears less focused on the lingering geopolitical risk and more on rising Treasury yields.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

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Rates Spark: 10yr SOFR hits the 4% handle

The 4% handle is where the fixed rate receiver conversation begins in earnest. We've been here before. In fact, we saw peaks at 4.6%, 4.4% and 4.3% in 2023, 2024 and 2025 respectively. We're likely heading back in that direction, but note that the peaks have been less pronounced each time we've hit one. Greedy? Maybe 10-20bp higher from here is the bliss level



The 10yr SOFR rate touched 4% on Monday. That compares with 3.5% just before the Iran war broke out. That 50bp rise has moved the 10yr SOFR rate into a zone that we identify as suitable for receiving fixed. Or at least the discussion in earnest should occur once there is a 4% handle on the 10yr. The starting point for any swap to floating strategy is to get in at a nice elevated rate to receive at for the long term. From there, the play is to let the Fed funds rate evolve, and over time the bet is it averages well below 4%. If so, carry is a cumulative positive. If the funds rate was to average the 3% rate it's averaged at historically (past three decades), then there is some 100bp of carry per annum.

That all being said, we likely have not seen the highs for the 10yr SOFR rate. The war story

continues to unfold in a troubling manner, in the sense that no resolution is on the horizon. This is correlating with a slow but steady ratchet higher in inflation expectations. The 10yr breakeven rate hit 2.5% on Monday, and is poised to continue to creep higher. For any given real rate (which has been steady in recent weeks), that translates into upward pressure on nominal rates. In other words, it continues to place upward pressure on the likes of the 10yr SOFR rate and the 10yr Treasury yield. For players looking to swap to floating, the strategy now seems at a good level. But a 10-20bp 'improvement' is also quite plausible in the coming weeks.

From here, we'd be tactically setting fixed-rate payers, as we want to be short the bond market as inflation expectations continue to rise. But the structural play to average in with fixed rate receivers that can then be left on for their full term. Even if the Fed hikes rates, in all probability, the subsequent moves would be cuts, and in the end it's the average tendency over time that really matters for the liability manager looking to lower interest rate costs. For the asset manager, the play is to be short duration now. But beyond that, there will likely be buyers should we break above 4.5%, and from there it makes increasing sense to start to average in. The danger scenario is we head to 5%, but we'd expect the US to find a 'war policy' way to avert such an outcome.

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

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The Commodities Feed: Oil steadier as market digests Trump's Hormuz plan

After a volatile week, the oil market is steadier as the market digests President Trump's plan to get vessels through the Strait of Hormuz



Energy - Trump's Hormuz plan

It was a volatile week in the oil market amid growing concerns about ongoing disruptions to oil flows from the Persian Gulf and the expiration of the ICE Brent Jun-26 contract on Thursday. The market is steadier at the start of the new trading week, despite continued noise around developments in the Persian Gulf.

Iran said it received a response from the US on its latest proposal for a peace plan. There are, however, suggestions that President Trump has said the proposal was unacceptable. If so, the market is left in limbo.

Trump also announced plans to guide commercial ships out of the Persian Gulf and through the Strait of Hormuz. The announcement saw a brief sell-off in oil prices, but the market has since pared these losses. The market does not seem convinced by the plan, which is called "Project Freedom." Reports indicate that, for now, the plan won't involve the US Navy escorting vessels.

Even if this allows vessels to leave the Persian Gulf, we're likely to see little inbound traffic. This would only amount to temporary relief, as floating storage leaves the Persian Gulf.

Over the weekend, OPEC+ announced a 188k b/d supply increase for June. However, this increase is unlikely to be realised, given that 55% of it is expected to come from Persian Gulf producers. This won't happen amid ongoing disruptions in the Strait of Hormuz. It marks the first meeting following the UAE's surprise exit from the group.

The latest positioning data shows that speculators increased their net long in ICE Brent by 13,862 lots over the last reporting week to 383,205 lots as of last Tuesday. The move was dominated by fresh longs entering the market.

Jet fuel inventories in Europe continue to tighten amid disruptions to refined product flows from the Middle East. The latest data from Insights Global shows that jet fuel inventories in the ARA region fell by 27kt week-on-week to 552kt. Since 26 February, jet fuel stocks have fallen by 34%, reaching their lowest level since 2020. Europe is heavily reliant on jet fuel supplies from the Persian Gulf.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

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THINK Ahead: The big June gamble

European central bankers are threatening rate hikes in June. But if they're hoping for clarity on inflation over the next six weeks, they're likely to be disappointed, argues James Smith. Come for the niche economics memes, stay for our preview of the week ahead...



Source: Imgflip

The big June gamble

Don't ask me why, but this week's [European Central Bank](#) meeting got me thinking about a meme from *The Simpsons*. The one with the bus driver who silently taps a sign reading "Don't talk to the driver" every time a passenger strikes up conversation.

Christine Lagarde could have saved herself a lot of effort this week by doing much the same. A gentle tap on a banner saying "We're hiking in June unless energy prices collapse" would probably have covered most of the questions.

She didn't put it quite that bluntly, of course. But she did say the Governing Council had a lengthy discussion about hiking. She said the ECB is moving away from its previous baseline, towards a world implicitly associated with higher interest rates. And, most tellingly, she said "directionally" that she knew where rates were heading.

If that still wasn't explicit enough, an inevitable "ECB sources" quote soon followed, suggesting a June hike is highly likely.

What stood out more to me, though, was Lagarde's suggestion that the ECB would have "a lot more information" on how the crisis is feeding through to inflation by the June meeting, just six weeks away.

That feels optimistic.

Yes, headline inflation is going higher. It's already at 3% and our team expects it to push towards 4%, broadly consistent with the ECB's "adverse" March scenario, and the one Lagarde now appears to be emphasising.

And yes, consumer inflation expectations have jumped, too. Data this week showed households expect inflation of 3% three years out, up from 2.5%, matching the highs of 2022. Something similar has happened in the UK.

That's already two of the three warning lights Carsten Brzeski identified in his [ECB preview](#).

But neither tells us much about persistence, nor about the strength of second round effects. And that will take time. Food inflation – one of the clearest channels for energy prices to feed through – is unlikely to peak before next winter.

It may take even longer for inflation pressures to show up in prices less directly affected by energy. Think services that are repriced annually. Or wages, which in Europe are governed by slow, multi year bargaining processes.

True, the ECB and other central banks will see more survey data by June. So far, those hint at only partial pass-through from higher input costs to output prices. But most businesses, like the rest of us, still don't really know how this crisis will affect them – let alone where the crisis itself is headed.

It's not at all clear that we will be much the wiser by June. There's a growing view in energy markets that the current stalemate could drag on. Dated Brent – physical oil ready for delivery – is trading around \$122/bbl, some \$10 higher than a week ago.

Then again, geopolitical experts point to a planned meeting between Presidents Trump and Xi in mid-May, and whether the US will want it to be overshadowed by events in and around the Gulf. That raises at least the possibility of a deal that allows some tankers to move again.

Our own [updated oil forecasts](#) are based loosely on a scenario where disruption to oil flows reduces from 70% today to 35% through May. If that entails a fragile, volatile truce in the Strait without a broader conflict resolution, then I think it would pose a significant dilemma for central banks in June.

The question is what matters more, the volume of oil already lost along with the supply chain impact that has already been baked in? Or the flow of oil and gas going forward, which – even if uncertain and only partially restored – could push energy prices lower over the summer?

For June, my money is on the former. As long as markets are pricing rate hikes this year – and as long as that keeps inflation expectations contained – there's only so long central banks will feel able to stay on the sidelines. A June ECB hike is our base case, and after this week's meeting, it is for the [Bank of England](#), too.

Whether those hikes come about because officials have more clarity on the inflation outlook, I'm

not so convinced. And whether those hikes are repeated again in September and beyond is equally questionable, in the sort of base case scenario described above.

A lot can still happen over the next six weeks; a gradual return of oil flows is one of many scenarios, each as (im)plausible as the next. A decisive reopening of the Strait of Hormuz and a sharp fall in energy prices is no doubt a wildcard.

If that happens, well, central banks might just take inspiration from another of those famous *Simpsons* memes...

Like Homer, central banks might feel like hiding in a hedge...



Source: Imgflip

THINK Ahead in developed markets

United States (James Knightley)

- **NFP** (Fri): The monthly increases in non-farm payrolls have averaged only 20,000 since January 2025. So, if the US couldn't meaningfully add jobs when the economy was growing robustly and sentiment was strong, it's going to be much harder with huge economic and geopolitical challenges stemming from the Middle East conflict. The ISM employment indices point to contraction while job lay-off announcements remain elevated and consumer confidence surveys suggest sentiment on jobs remains depressed. Yet jobless claims are very low, and the ADP weekly employment statistics have been good. Considering that payrolls surged 178,000 in March with private payrolls rising 186,000, we expect to see a gain closer to 50,000 for April with employment again concentrated in private education and healthcare services.
- **ISM index** (Tue): Other numbers to watch include the ISM services index, which is likely to

soften a touch from strong levels, given the surge in oil costs. New highs for gasoline will also dampen consumer sentiment, with the University of Michigan measure potential hitting new series lows as households fret about spending power.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **NBP decision** (Wed): Even though gasoline price increases were halted in April, partly due to cuts in VAT and excise duties, and food price growth slowed further in annual terms, headline inflation increased to 3.2% year-on-year last month on the back of higher core inflation. This might be a warning sign for some policymakers, but we expect the National Bank of Poland (NBP) to keep rates unchanged in May (main policy rate still at 3.75). We believe rate setters will stick to a wait-and-see approach and to continue to monitor incoming economic data to assess the impact of the current energy shock on both inflation dynamics and economic activity.

Hungary (Peter Virovacz)

- **Inflation** (Fri): We are heading into an extremely busy week for Hungary, but the most relevant data release comes on Friday. The April inflation figure will be closely watched by the markets and by the National Bank of Hungary. The March figure was a pleasant surprise, showing only mild acceleration in the initial wave of price shocks resulting from the war in the Middle East. With the fuel price cap still in place, our focus is on the second-round effects, and we anticipate a limited impact with a 0.6% monthly repricing. The key mitigating factor is the strength of the forint. Services, durables and clothing will be among the drivers of price pressures, while household energy will dampen price pressures due to methodological reasons.

Czech Republic (David Havrlant)

- **PMI** (Mon): The industrial PMI likely softened in April, as elevated oil and natural gas prices along with substantial geopolitical uncertainty began to bite. A tangible deterioration is likely to be seen over the coming months, with conditions becoming more difficult amid the ongoing conflict in the Middle East. Inflation in April is likely to have increased, driven by further gains in fuel prices. That said, we assume that prices in other parts of the consumer basket have also gained traction. Industrial output in March likely maintained its positive growth pace, as the effects of weakening demand and emerging supply chain disruptions are only likely to become visible with a lag. Despite the pickup in inflation, the Czech National Bank will likely hold rates unchanged, as the negative consequences for economic activity are expected to follow suit. Being in a relatively comfortable position, policymakers can take a wait-and-see stance for all the right reasons.

Turkey (Muhammet Mercan)

- **Inflation** (Mon): We expect April inflation to remain high at 2.9% (translating into 30.7% on an annual basis) given the ongoing pressures linked to geopolitical developments and the high and volatile energy prices. Accordingly, administrative price adjustments in electricity and natural gas will determine the April inflation, while signals of a slowdown in economic activity are likely to be a restraining factor, in our view.

Armenia and Azerbaijan (Dmitry Dolgin)

- **Rate Decisions:** We expect the central banks of Armenia (5 May) and Azerbaijan (6 May) to keep the policy rates on hold – at 6.50% in both cases. This would follow the example of [Kazakhstan](#) and [Uzbekistan](#), which also opted for unchanged policy rates reflecting a mix of domestic and external risk factors. While the current domestic CPI trends in the CIS region appear to be largely benign, the ongoing tensions in the Middle East and the resulting [increase in global commodity prices](#) call for [region-wide caution in terms of monetary policy](#), in our view.

Key events in developed markets next week

Monday 4 May				
US	1500	Mar Factory Orders (MoM%)	0.4	0
Eurozone	0900	Apr HCOB Manufacturing PMI Final	-	52.2
Germany	0855	Apr HCOB Manufacturing PMI Final	51.2	51.2
Italy	0845	Apr S&P Global/IHS Manufacturing PMI	-	51.3
Tuesday 5 May				
US	1330	Mar International Trade (USD bn)	-62.5	-57.3
	1445	Apr S&P Global Composite PMI Final	-	52
	1445	Apr S&P Global Services PMI Final	-	51.3
	1500	Apr ISM Non-Manufacturing PMI	53.2	54
	1500	Mar New Home Sales (mn)	0.7	0.6
Canada	1330	Mar Trade Balance (CAD bn)	-	-5.74
Switzerland	0730	Apr CPI (MoM%/YoY%)	-/-	0.2/0.3
Wednesday 6 May				
US	1315	Apr ADP Employment Change (000s)	75	62
Eurozone	0900	Apr HCOB Services PMI Final	-	47.4
	0900	Apr HCOB Composite PMI Final	-	48.6
Germany	0855	Apr HCOB Services PMI Final	46.9	46.9
	0855	Apr HCOB Composite PMI Final	48.3	48.3
France	0745	Mar Industrial Output (MoM%)	-	-0.7
	0850	Apr HCOB Composite PMI	-	47.6
UK	0930	Apr S&P Global/CIPS Serv PMI Final	52	52
	0930	Apr S&P Global Composite PMI Final	52	52
Italy	0845	Apr Composite PMI	-	49.2
Spain	0815	Apr Services PMI	-	53.3
Norway	0700	Apr CPI (MoM%/YoY%)	-/-	0.2/3.6
Thursday 7 May				
US	1330	Initial Jobless Claims (000s)	202	189
	2000	Mar Consumer Credit Change (USD bn)	11	9.5
Eurozone	1000	Mar Retail Sales (MoM%/YoY%)	-/-	-0.2/1.7
Germany	0700	Mar Industrial Orders (MoM%)	0.5	0.9
France	0745	Mar Trade Balance (EUR bn)	-	-5.8
Norway	0900	Key Policy Rate	-	4.00
Sweden	0830	Key Policy Rate	-	1.75
Switzerland	0800	Apr Unemployment Rate Adjusted	-	3
Friday 8 May				
US	1330	Apr Non-Farm Payrolls (000s)	50	178
	1330	Apr Private Payrolls (000s)	55	186
	1330	Apr Unemployment Rate (%)	4.3	4.3
	1500	May Michigan Sentiment Flash	49.4	49.8
	1500	May Michigan Conditions Flash	52	52.5
	1500	May Michigan Expectations Flash	47.5	48.1
Germany	0700	Mar Industrial Output (MoM%/YoY%)	3	-0.3/0
	0700	Mar Exports	-3	3.6
	0700	Mar Imports	-4	4.7
	0700	Mar Trade Balance (EUR bn)	20.1	19.8
Canada	1330	Apr Unemployment Rate	-	6.7
Netherlands	0530	Mar Manufacturing Output (MoM%)	-	-1.3

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 4 May				
Russia	0700	Apr S&P Global Manufacturing PMI	-	48.3
Turkey	0800	Apr CPI (MoM%/YoY%)	2.9/30.7	1.9/30.9
	0800	Apr Manufacturing PMI	-	47.9
Poland	0800	Apr S&P Global Manufacturing PMI	49.2	48.7
Hungary	0800	Apr Manufacturing PMI	54.1	50.4
Czech Rep	0830	Apr S&P Global PMI	51.0	52.8
Kazakhstan		Apr CPI (MoM%/YoY%)	0.9/10.7	0.6/11.0
Tuesday 5 May				
Armenia		Policy rate (%)	6.50	6.50
Wednesday 6 May				
Russia	0700	Apr S&P Global Services PMI	-	49.5
Azerbaijan		Refinancing Rate (%)	6.50	6.50
Poland	1300	May NBP Base Rate	3.75	3.75
Czech Rep	0800	Apr CPI (MoM%/YoY%)	0.5/2.6	0.6/1.9
Hungary	0730	Mar Industrial Output (MoM%/YoY%)	1.4/2.9	-1.8/-1.5
Thursday 7 May				
Czech Rep	0800	Mar Industrial Output (YoY%, WDSA)	1.4	1.3
	0800	Mar Trade Balance (CZK bn)	20.5	19.3
	1430	CNB Rate Decision	3.50	3.50
Hungary	0730	Mar Retail Sales (YoY%)	4.8	3.8
Ukraine	1330	Apr CPI (MoM%/YoY%)	-/-	1.7/7.9
Serbia	1100	May Benchmark Interest rate	5.75	5.75
Friday 8 May				
Turkey	0800	Mar Industrial Output (YoY%)	-	2.2
Hungary	0730	Apr Core CPI (YoY%)	2.6	1.9
	0730	Apr CPI (MoM%/YoY%)	0.6/2.2	0.4/1.8
	1000	Apr Budget Balance (Monthly, HUF bn)	-350	-1314

Source: Refinitiv, ING

Author

James Smith

Developed Markets Economist, UK

james.smith@ing.com

James Knightley

Chief International Economist, US

james.knightley@ing.com

Adam Antoniuk

Senior Economist, Poland

adam.antoniuk@ing.pl

Peter Virovacz

Chief Economist, Hungary

peter.virovacz@ing.com

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Muhammet Mercan

Chief Economist, Turkey

muhammet.mercan@ingbank.com.tr

Dmitry Dolgin

Chief Economist, CIS

dmitry.dolgin@ing.de

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FX Daily: Japan's 2026 FX intervention campaign begins

Market participants widely believe that Tokyo authorities intervened in USD/JPY yesterday. This marks the first action of what could be a long campaign to keep USD/JPY under 160 this year. Elsewhere, financial markets remain happy to ignore the stagnation part of this stagflationary shock as US earnings perform well. Yet, the dollar can hold gains



Tokyo has fired the starting pistol on its 2026 intervention campaign

Due to the 4 May UK bank holiday, the next edition of the FX Daily will be published on Tuesday, 5 May

➔ USD: Japan will have sold a lot of dollars

We should have seen it coming, really. USD/JPY was trading above 160 heading into the start of a series of global May Day holidays, and just like it did in 2024, it very much looks like Japan has intervened again. Back in 2024, the Bank of Japan did follow up its \$30bn plus sales of FX on 29 April with another (smaller) round of intervention on 1 May. And this will mean investors will be bracing for potentially more intervention through the early part of next week, given further public holidays in Japan and around the globe. Back in 2024, that intervention in thin markets was worth a move all the way to 152, but it only bought Tokyo some time before USD/JPY traded to a new

high two months later. The same applies today. Unless [Washington gets involved](#), we think there will be good demand for USD/JPY near 155, given high energy prices, hesitant BoJ tightening, and a Fed being blown off its easy course.

What could have been \$30bn of dollar sales yesterday, plus healthy equity markets, has seen the dollar weaker across the board. Lower oil prices have certainly helped here, and there has even been some suggestion that Tokyo might have intervened in crude oil futures markets, too. Yet the Iranian hardliners are showing no signs of conciliatory steps, and few will have any confidence that the recent dip in energy futures is sustainable. With a slowdown in hard activity surely just around the corner, we doubt the dollar needs to fall too far at the moment.

For today, the US focus will be on the April manufacturing ISM and a TV appearance from the Federal Reserve's Stephen Miran – the first Fed speaker after this week's split [FOMC decision](#). He's expected to sound dovish, having again voted for a rate cut this week. But inflation expectations are rising, the Fed is becoming more cautious, and the market will struggle to price in renewed Fed easing until oil prices turn substantially lower.

DXY should continue to find support near 98.00 and can gravitate back to 98.50.

Chris Turner

➔ EUR: ECB had little bearing on the euro

Given the volatility in oil markets yesterday, it has been hard to disentangle how much impact communication from the European Central Bank has had on short-dated euro interest rates and the euro. The conclusion is probably not too much, given that a June rate hike is still priced around 90%. The 10bp fall in short-dated EUR swap rates was probably more oil than [ECB driven anyway](#). That said, at least the ECB was sounding tough enough to protect the euro, and its job is to keep tightening expectations and market-based interest rates high enough to avoid an unwelcome drop in real interest rates.

We tend to favour EUR/USD continuing to trade in a 1.1650-1.1750 range in the near term and do not expect the dollar to return to its benign bear trend until there is a lot more clarity in the Gulf.

Chris Turner

➔ GBP: A confusing picture

Sterling presents a confusing picture at the moment. Some read yesterday's Bank of England communication as dovish, even though our take is that it is laying the groundwork for a [hike in June](#). That dovish read by some may have been influenced by witnessing the decent fall in short-dated GBP swap rates – even though that move was probably driven by lower oil prices. And if oil prices were lower and GBP rates were falling faster than EUR rates, that should have been EUR/GBP bullish, based on the relationship between oil, rates and FX we have seen since the war broke out. But no, EUR/GBP fell on the day. That may have been a function of month-end flows, where equity portfolio managers were rebalancing into UK asset markets after their underperformance in April.

Clearly, it is a confusing picture and one that leaves major EUR/GBP support vulnerable at 0.8600/8610 in holiday-thinned trading conditions. We think sterling should be underperforming soon – but both we and most investors have been saying that for a long time.

Chris Turner

➔ CEE: Rates remain wild while FX is stable

The end of the week should be quiet in CEE after a series of data yesterday and wild rates moves following core markets. Most countries in the region will be closed today for a public holiday. However, the market will have some time to process yesterday's initial sell-off and subsequent rally in rates before the weekend and the closed UK market on Monday, when liquidity in the CEE region is usually scarce.

Rates saw some relief, especially at the long end of the curve, following the rally in core markets. However, the front-end remains largely unchanged with around 80bp of rate hikes priced in in Poland and the Czech Republic for this year, while Hungary is still expected to remain on hold for the whole of this year before opting for some rate cuts next year. The increasing likelihood of a rate hike from the ECB and now from the BoE increases the likelihood, in our opinion, that National Bank of Poland and Czech National Bank pricing can materialise, although our economists' [baseline remains unchanged](#).

Of course, if we see a rapid de-escalation of the conflict in the Middle East, it is the front-end that will see the most relief. Still, the market will leave some room for rate hikes solely because of the ECB and a potential second round of inflation. This makes the current markets complicated, and the sequence of events can be pretty mixed from the current point. However, one thing remains unchanged – and that's CEE FX, which has seen little attention since the beginning of the conflict. Nothing will change on that front in the coming days, but in the medium-term, central banks' reactions to a potential ECB rate hike could increasingly come into play.

Frantisek Taborsky

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist
francesco.pesole@ing.com

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ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer



At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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Webinar: Asia's energy shock - Who is most exposed?

Join our live webinar on 7 May as ING's Deepali Bhargava, Lynn Song and Min Joo Kang discuss the impact of surging oil prices on key economies across Asia. [Sign up here](#)



Asia accounts for the bulk of oil flows through the Strait of Hormuz, with China, India, and Japan among the largest recipients. But exposure to this supply shock is far from uniform. Countries differ widely in their strategic oil reserves, their ability to cushion price spikes through policy, and how dependent they remain on imported fossil fuels versus alternative energy sources.

[Join ING's experts as they explain:](#)

- Why some countries are better placed to manage the disruption than others
- How differences in the energy mix and import dependence shape vulnerability
- What this divergence means for growth, inflation and policy choices across Asia

Speakers

Deepali Bhargava, Regional Head of Research, Asia-Pacific

Lynn Song, Chief Economist, Greater China

Min Joo Kang, Senior Economist, South Korea, Japan

Hosted by ING Editor William Pesek

Details

Date: Thursday, 7 May

Time: 1500 HKT/ 1600 KST /0900 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

Author

Deepali Bhargava

Regional Head of Research, Asia-Pacific

Deepali.Bhargava@ing.com

Lynn Song

Chief Economist, Greater China

lynn.song@ing.com

Min Joo Kang

Senior Economist, South Korea and Japan

min.joo.kang@ing.com

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Rates Spark: A cacophony of mad stuff

Thursday was a mad day, with many markets just doing their own thing. The war 'over there' seemed like a sideshow, of little importance for risk assets at least. And bond yields fell even as inflation breakevens continued to rise. The price of oil even fell, on zero war progress. All a bit disorderly, as central banks talk risks but hold pat



Things swinging in directions that are tough to interpret – but let's give it a go

Some notable moves through Thursday. First, volatility ratcheted lower. Remarkably so. The CBOE volatility index dipped to 17, versus a long-run average of 19. That's quite a benign reading against a backdrop of tremendous war uncertainty. Second, and related, the S&P 500 hit a new all-time high. There's been a notable separation here between equities supported by strong earnings, and the headwinds being posed by the higher oil price. Third, rate-hike concerns continued to build. No changes in rates from the major central banks this week, but they are all morphing in the direction of hikes, especially the European ones.

Phew, let's continue. Fourth, the price of oil fell quite considerably, from \$125/bbl to \$115/bbl on Brent. And for no good reason. The stand-off between the US and Iran continues, and as the days go by, a \$10/bbl move deserves at the very least a better rationale. Fifth, a huge intervention prompted a move in the Japanese yen, in a week when the Bank of Japan chose to hold rates steady. We thought they would hike, or at least should have.

And on bonds, US yields fell through Thursday, with the 10yr dipping from 4.44% to 4.37% (and similar on the front end). But what's important here is the breakout. Inflation breakevens in fact rose – the 10yr is knocking on the door of 2.5%. Real yields fell, and that dominated. That morph toward lower real yields can be a harbinger of things eventually turning sour on the activity front. But front and centre, the main impulse for bonds is higher inflation expectations.

We're heading towards another weekend of potential uncertainty, with Friday, 1 May, seen in the minds of many as something of a key day by which some move needs to happen between the US and Iran with respect to a deal of sorts. Hope is fading on this, which risks seeing the pendulum swinging back in the direction of a resumed kinetic outcome. That would not be great for markets, which would prefer a quick reopening of the Strait, even on a bad deal.

Central banks preparing ground for hikes, the ECB and BOE at least

The tail risk scenario of the European Central Bank already hiking this week did not come to pass. But the fact that President Lagarde mentioned that a hike was debated, could be interpreted as a hint that a [hike in June](#) is well on the cards. The market was and still is discounting it with a probability of 90% and the ECB offered little pushback.

Rates had been falling over the past session, led by front ends, but this was owing more to oil prices falling back and, to some extent, also a less hawkish than anticipated Bank of England. Overall, the picture of energy prices driving curves via the front end remains intact, though it has become clear that the central banks' actions ahead are not straightforward given the opposing effects of rising inflation and mounting macro headwinds.

Oil prices bigger driver of GBP rates than inflation nuances

Also, the Bank of England is preparing markets for a higher Bank Rate and our UK economist has now added a [25bp rate hike for June](#). We would still argue that gas prices are the more important variable to watch for UK inflation dynamics, and given these have risen by significantly less than oil prices so far, we are inclined to push back against the hawkish market positioning.

Having said that, markets are indeed still very closely following the script that links sterling rates directly to oil prices. The fall in oil prices was clearly a bigger driver of the dovish move on Thursday than the Bank of England meeting. So whilst we don't think the 60bp hikes priced in by markets this year is justified, trading such a view remains difficult. Unless oil comes down materially, the hawkish narrative will dominate, with intraday swings in oil prices setting the tone.

Friday's events and market view

Friday, 1 May is a holiday in many jurisdictions. The focus in coming sessions is on the ECB's usual post-meeting communication, although specific speakers are scheduled only from the start of next week. Maybe we will then learn whether someone already deemed a hike necessary in April.

On the data front, the US will release the ISM manufacturing which consensus sees improving. But there will also be a focus on the prices paid component, which is expected to increase as well.

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

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Hawkish Fed members fire warning shot across Warsh's bow

The Federal Reserve held rates steady with Stephen Miran again voting for a cut, but three members – while not voting for a hike – signalled a growing sense of unease on the inflation front. This suggests a tougher two-way debate on rates at Kevin Warsh's first FOMC meeting as Chair in June



The Federal Reserve left rates unchanged at Jerome Powell's final meeting as Fed Chair

Fed hawks find their voice

The Federal Reserve has left monetary policy unchanged with officials voting 8-4 in favour of keeping stable rates. Those four are broken down as Stephen Miran again voting for a 25bp rate cut, but with three others – Beth Hammock, Neel Kashkari and Lorie Logan – while not voting for a rate hike, "did not support inclusion of an easing bias in the statement at this time".

The confusing aspect is there isn't specifically a reference to an easing bias. The statement itself says, "The Committee is attentive to the risks to both sides of its dual mandate." This is an unusual way of characterising a vote and it maybe they wanted it included as a shot across the bow of Kevin Warsh, who will be leading the Fed at the next FOMC meeting. They perhaps want to make it clear that they will not be easily swayed to his way of thinking that rates in time can be lowered.

Certainly, the Fed says they will be assessing "a wide range of information, including readings on labour market conditions, inflation pressures and inflation expectations, and financial and international developments". It maybe that the minutes will show they wanted to signal an intention to hike rates if inflation expectations started to push meaningfully higher, risking a more prolonged and broader inflation threat. Markets interpreted it as a hawkish shift, with Fed funds futures contracts discounting stable rates through to year-end, having priced 10bp of cuts in 2026 on Friday.

More disagreement and more market volatility

Today's Senate Banking Committee 13-11 vote in favour of putting Kevin Warsh's nomination to a full Senate ballot means it looks a virtual certainty that he will be signed in as the new Chair just ahead of the 15 May expiration of Jerome Powell's term. The messaging from Warsh is he seemingly wants less of the consensus-driven approach we have seen under previous Chairs, which critics suggest has led to group think that led to slow responses to new events. Instead, Warsh is advocating for an environment where debate and disagreements are encouraged and that looks set to be the case in June. This implies the potential for more surprises and therefore more market volatility. Powell has also said he will continue to serve as a Governor for a "period of time" – his term for that position continues until January 2028 – and this is likely to keep tensions between the President and a more hawkishly positioned Fed, elevated.

Inflation still seen as transitory, but the Fed needs to protect its credibility

Both headline and core inflation have been above the 2% target for five years and looks set to break above 4% next month on gasoline and air fares, so it is understandable why markets and Fed officials are nervous. Officials want to ensure that we don't see higher energy prices feed through into the cost of other goods and services, and so we expect them to talk very tough on this front. This hawkish rhetoric is likely to be stepped up over the next few weeks and until a deal is done in the Middle East that will hopefully provide relief.

Nonetheless, companies have not had much success in passing on the significant cost of tariffs to consumers with CPI goods prices ex-food and energy barely rising 1% year-on-year. Importantly, the current supply shock, focused on fuel prices, is not as broad as the pandemic-related supply chain stresses in 2020/21, and we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

Real household disposable incomes are already flatlining amidst a stagnating jobs market, so we see higher fuel prices as being demand destructive via reduced spending power. This is set to weigh on core inflation, and we also need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further. Moreover, if Middle East tensions ease and oil prices drop, there is a high probability of sub-2% year-on-year inflation being achieved in 2027.

Right now, the outlook is highly uncertain and could change very quickly due to developments in the Middle East. We expect the Fed to hold rates steady throughout the summer. Our view, for some time, has been a September rate cut and a December rate cut, but we do recognise that the risk is they are delayed given the current lack of signs of a potential deal. Nonetheless, we still see the prospect of eventual rate cuts being more likely than rate hikes.

Curve flattens on front end scare factor

Earlier, the US 10yr yield had gapped higher, and hit 4.4%. Actually, the whole curve gapped up. The hold-out in the Strait of Hormuz was the catalyst. Some duration selling makes a lot of sense here, where we are in “nowhere land” on a resolution to the war. Extrapolate this, and we could sail back up to the 4.5% area that we hit a few weeks ago. Some of this was echoed in the decision of three Fed members to step away from the underlying easing bias that had dominated policy changes since the wider rate-cutting process began. For these three members, that journey is at an end. The main follow-through from the FOMC outcome is a consolidation at 4.4% for the 10yr, and a further rise in the 2yr to above 3.9% – a flatter curve from the front end. More to come, at least for as long as the hold-off in the Strait continues, and the prognosis there is for the status quo to be in an uncomfortable place.

Between March and April, the implementation notes that accompany the FOMC statement are operationally unchanged, but the tone shifts from active reserve support to maintenance – suggesting the plumbing has calmed enough for the NY Fed Desk to stand down, even as policy stays on hold. Last week the NY Fed cut T-bill buying from US\$40bn to US\$25bn per month, pointing in the same direction, and indicative of some comfort over the plumbing of the system. The missing ingredient here is the ongoing elevation in the effective funds rate. It remains at 3.64%, a mere 1bp below the rate on reserves at 3.65% (unchanged). It used to be 7bp below (September 2025). The Fed, ideally, would prefer to get it back there. But no big stress here. In all probability, the effective funds rate will be coaxed down as bank reserves slowly rebuild in line with ongoing T-bills buying, even if at a slower pace.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

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Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook



UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

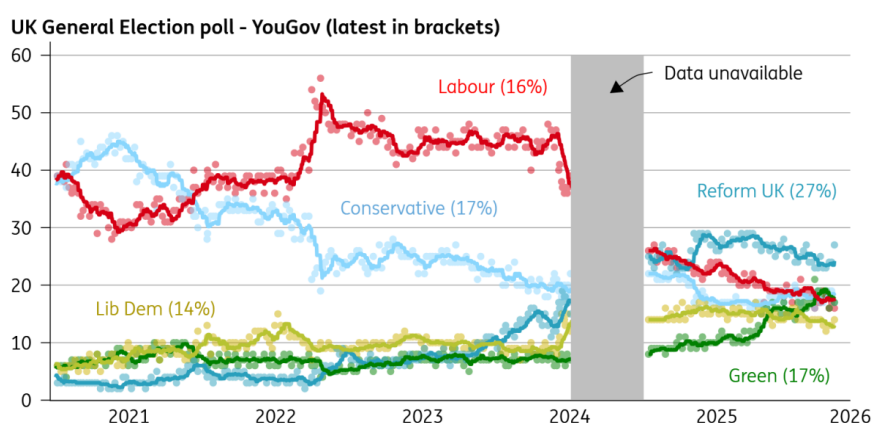
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some [predictions](#).

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

Solid line is the one month moving average

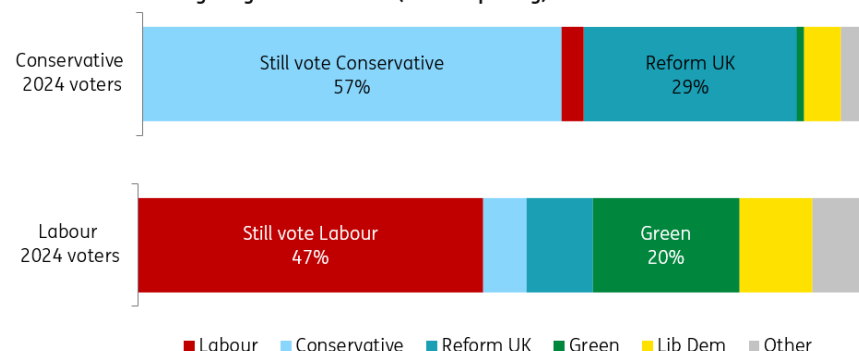
Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral Calculus in [January](#) and [April](#) of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green

Who 2024 voters say they'll vote for now (YouGov polling)



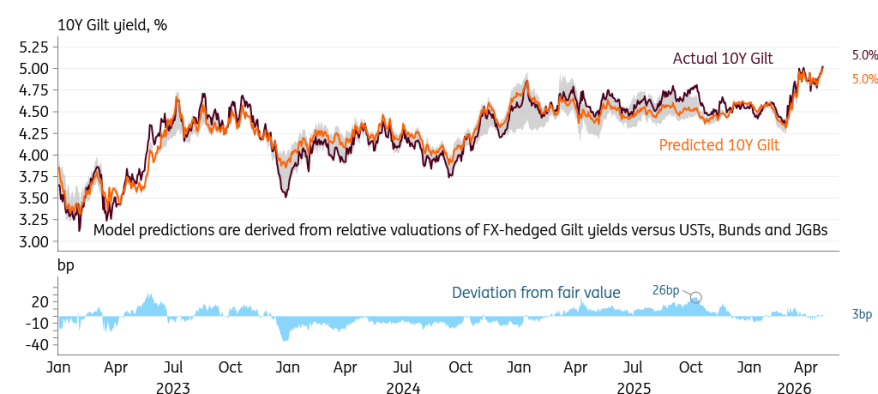
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: ING, Macrobond

Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 “mini budget”, which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter

of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR [fails to account](#) for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A [recent speech](#) by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling

bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

Author

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

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Kevin Warsh's Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely



At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that "several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed's balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US\$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He's not been specific about sizes, but said that they should be significantly reduced. And he's identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he's advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US\$4.5tn in bond liquidations. That's unlikely, but we do develop that narrative [here](#). More probable is a targeted sale of the US\$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed's balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed's balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He's not been specific as to what that level should be. The unwritten level today is US\$3tn. That's sitting alongside Fed bond holdings of US\$6.3tn. Simplistically, if the Fed's balance sheet was shrunk by

US\$2tn, bank reserves could be pressured down to around US\$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

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